NVIDIA Corporation

NVDA NASDAQ

Buy	$202.06 ▼ 1.26%	12M Price Target	52-Week Range	Market Cap
		$240.00	$164.27 – $243.37	$4.88T

NVDA: Pullback Looks Like Profit-Taking, Not Panic

WHAT HAPPENED

- NVDA is down ~7% in four sessions ($218 → $202) on heavy volume — that Oct 30 session traded 168M shares, which is roughly 2x normal. That's institutions trimming, not retail panic. No bad news, no filings, no earnings — this looks like profit-taking after a huge run (stock is still up a ton YTD and sitting at 48% of its 52-week range after being near the highs).
- The options tape is screaming caution: somebody dumped ~$145M in near-term puts at $205 and $207.50 strikes, with contracts running 50x open interest. That's not a hedge, that's a directional bet that NVDA stays pinned or drifts lower into November expiration.

WHY IT MATTERS

Here's what I think is happening: with a $4.88T market cap, NVDA has become THE market, and when big funds need to raise cash or rebalance into cyclicals (notice Consumer Discretionary +2.4%, Financials +1.9% today), they sell what's up the most. This is rotation, not a thesis break. The massive put buying tells me smart money expects more downside into mid-November — probably positioning around earnings or just locking in gains before year-end tax considerations. BUT: institutional ownership at 71.5% with BlackRock and Vanguard anchoring means the structural bid is still there. I'd treat $190-200 as the "accumulation zone" unless something fundamentally changes with hyperscaler spending or China policy.

POLICY & POLITICAL WATCH

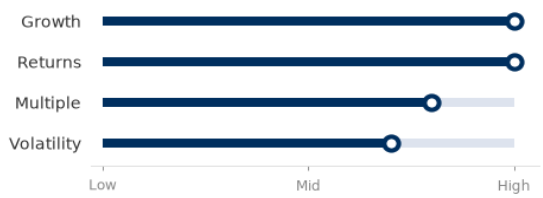
Two things are on my radar right now: (1) the ongoing US-China chip export rules — the Commerce Department has been tightening what NVDA can sell to China, and any new restriction on their H20/B20 China-compliant chips directly chops revenue (China was ~13% of sales before restrictions). (2) The CHIPS Act 2.0 discussions and the AI infrastructure executive orders from this administration keep federal dollars flowing to domestic AI buildout — that's a tailwind, because every federal AI contract eventually funnels GPUs through NVDA. Watch for any Treasury Department comments on AI capex tax incentives in the next budget cycle — if they expand accelerated depreciation for AI hardware, hyperscalers buy more, faster.

IS IT EXPENSIVE?

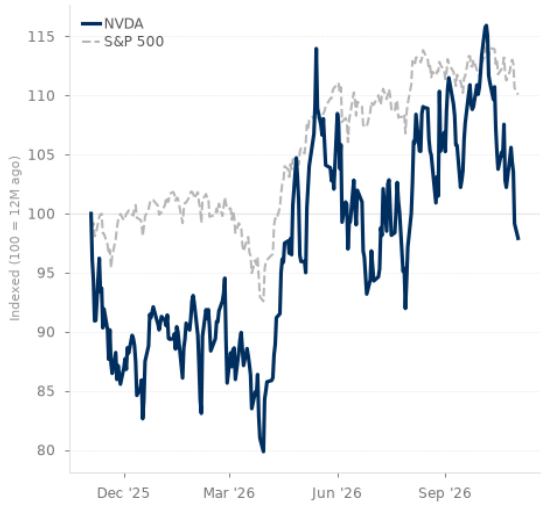
Key Data

Price (USD)	**$202.06**
12M Price Target	**$240.00**
Upside / (Downside)	**+18.8%**
Market Cap	**$4.88T**
FY2026E Revenue	**$207M**
FY2027E Revenue	**$285M**
FY2026E EPS	**$4.45**
FY2027E EPS	**$6.20**
Fwd P/E	**45.4x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

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PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$220.00**	$205.00	**$185.00**
6 Months	**$260.00**	$230.00	**$175.00**
1 Year	**$300.00**	$240.00	**$160.00**
2 Years	**$380.00**	$290.00	**$150.00**
5 Years	**$550.00**	$400.00	**$180.00**
10 Years	**$900.00**	$600.00	**$200.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Discretionary and Financials are leading — classic "risk-on but rotate out of mega-cap tech" behavior. Financials specifically are catching a bid on rate expectations and loan growth.

COOLING OFF: Mega-cap tech (which isn't in the ETF list above but is implied by what's NOT leading) — when semis and tech are quiet while cyclicals rip, that's rotation.

ROTATION WATCH: Money is leaving winners (NVDA, semis) and moving into laggards (financials, consumer, materials). This is typical late-year behavior — fund managers lock in gains and reposition. It usually ends within 2-4 weeks and the leaders resume leadership.

RELATED PLAY: If you believe in the AI thesis but want cheaper exposure, look at the power and cooling infrastructure plays — Vertiv (VRT), Eaton (ETN), or data center REITs like Digital Realty (DLR). They benefit when NVDA chips get deployed but trade at lower multiples.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Winning on custom silicon narrative — they build chips WITH hyperscalers, which is the exact risk to NVDA
- AMD (Advanced Micro Devices): Finally getting credit for MI300/MI400 traction and OpenAI partnership — the "second source" trade for anyone who thinks NVDA is too crowded

NVDA CONTEXT: NVDA is lagging the semi group this week because of its size — it's where everyone takes profits first. That's actually bullish longer-term because it means the pullback is mechanical, not fundamental. When NVDA leads again, that's your "all clear" signal.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — I love the long-term story but respect the near-term tape; the put flow is loud

POSITION SIZE: 4-6% of portfolio — this is a core holding, not a trade, but don't make it 15% because volatility can shake you out

ENTRY POINTS: Add on dips to $195-200; back up the truck below $185 if we get a market-wide flush

TIME HORIZON: 12-24 months — the catalyst is earnings confirmation that hyperscaler capex stays strong into 2027, plus any new sovereign AI deals (Saudi, UAE, India)

WHEN TO BAIL: If a hyperscaler cuts capex guidance, if data center revenue decelerates two quarters in a row, or if China export rules tighten to zero

HEDGING: Simplest hedge — buy a put at $185 strike expiring in Jan or Feb. Think of it like insurance: you pay a small premium, and if the stock craters, the put pays you back. If the stock keeps running, you lose the premium but your shares are worth more.

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